



EOS Energy Enterprise (NASDAQ: EOSE)

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“Long-lasting Energy Storage Company”



Eos Energy Enterprises develops and manufactures zinc-hybrid battery energy storage systems, operating primarily through its Eos Z3 EnergyVault™ platform. Unlike lithium-ion peers, its aqueous zinc chemistry eliminates reliance on rare metals, also enabling safer grid-scale and long-duration storage. The company is expanding domestic production capacity from 800 MWh in 2024 to 2 GWh by end-2025, serving U.S. utilities and microgrid operators.

Its Eos Z3 EnergyVault™ platform offers higher cycle life (>10,000 cycles) and safety advantages, leveraging aqueous zinc chemistry to reduce fire risks and environmental impact. Eos is rapidly scaling manufacturing capacity in the United States, targeting 2 GWh annual production by end of 2025 to meet growing demand from utilities and commercial-scale customers.

The company has notable market presence backed by a strong order backlog and a substantial pipeline of utility-scale projects valued at billions, supported by investment-grade partnerships and government incentives. Eos is strategically positioned in the renewable energy transition with a focus on supporting grid decarbonization, resiliency, and flexible energy storage needs amid evolving energy policy frameworks.

Corporate Structure (as of 7th Nov)

Ticker: EOSE (NASDAQ) Current Price: \$15.29

Headquarters: Turtle Creek, Pennsylvania Employees: ~300
CEO: Joe Mastrangelo CFO: Nathan Kreger

Source:

- EOS Energy
- Yahoo Finance
- Marketwatch

Street View

Average Consensus Price: \$12.00 - \$14.00
Consensus Rating: HOLD

Strong growth potential in zinc-based technology and domestic manufacturing ramp.	However, negative EBIT margin of -63.8M in Q2 of 2025 and reliance on external financing raise going concern risk	Price targets vary significantly, reflecting uncertainty to scale and fund.
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Our View

Target Price: \$16.47
Upside: 7.7%

Margin Improvements: Automation upgrades drive a 93% sequential improvement in margins, paving the way for positive profitability by 2026.	Cost Reduction & Tax Incentives: IRA 45X tax credits and automation efficiency will significantly lower production costs,	Eos’s zinc-hybrid tech & key partnerships position it as a leading full solution provider in grid-scale storage.
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Pioneering the Future of Clean Energy Storage

GICS Sector: Industrials

GICS Subsector: Electrical equipment and parts

Founders: Joe Mastrangelo (CEO), Julian Spector (Co-Founder)

Round Details:

~\$186M in funding (as of 2024),

~\$510M valuation (as of 2025)

Overview:

Founded in 2008, in New Jersey, Eos Energy Enterprises, Inc. produces zinc based, long duration battery energy storage systems to support clean, grid-scale power solutions. Their systems support renewable energy integration, improve grid reliability and provide a scalable option for long-term energy storage, helping to drive the transition toward a more sustainable energy future.

...empowered by strong market demand for grid resiliences...

\$147M Backlog

\$18.8B Pipeline

reflecting strong demand and long-term growth potential in grid-scale storage projects.

10x

Revenue growth

from 2024 to \$150-\$190M in 2025, affirmed by revenue guidance, indicating strong commercialisation

\$3.5B

Grid Modernisation Funding

\$2.5B

DOE Loan Guarantees

Long term tailwinds driving increasing adoption of storage-as-infrastructure by utilities.

...with zinc-based batteries driving grid-scale solutions...

**EOS Z3™
Module**

Each 0.8 kWh unit offers 3–12 hours of discharge with ~88% capacity after 20 years, showcasing exceptional durability and long lifecycle.



EOS Cube

Containerized system combining Z3 modules and Battery Management System for grid and remote sites.



DawnOS™

Proprietary software optimizing Eos systems through predictive maintenance, real-time monitoring, and profit-driven energy dispatch.



EOS Hanger

Large-scale indoor system built for industrials, data centres, and commercial sites needing reliable backup and resilient energy.



...supported by US manufacturing incentives & growing pipelines

Proprietary Zinc Hybrid Technology:



Low cost, low toxicity and non-flammable technology that offers a more sustainable and durable alternative to lithium-ion, while reducing dependency on critical raw materials and minerals

U.S. Domestic Manufacturing Advantage:



Supply chain stability and eligible for IRA Section 45X domestic production tax credits (~\$45/kWh), improving gross margins by ~30%.

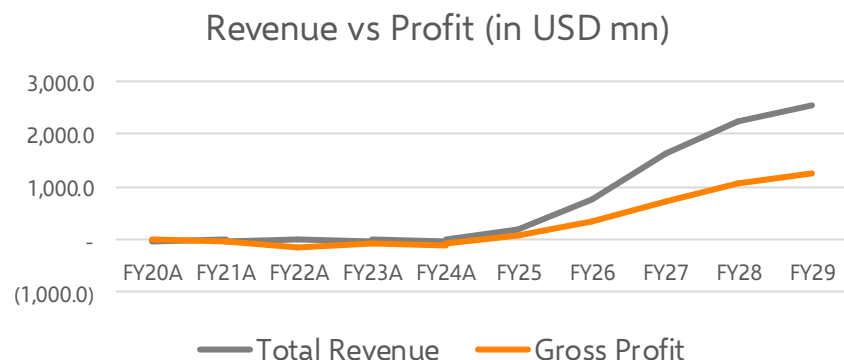
Long-Term Contracts and Pipeline:



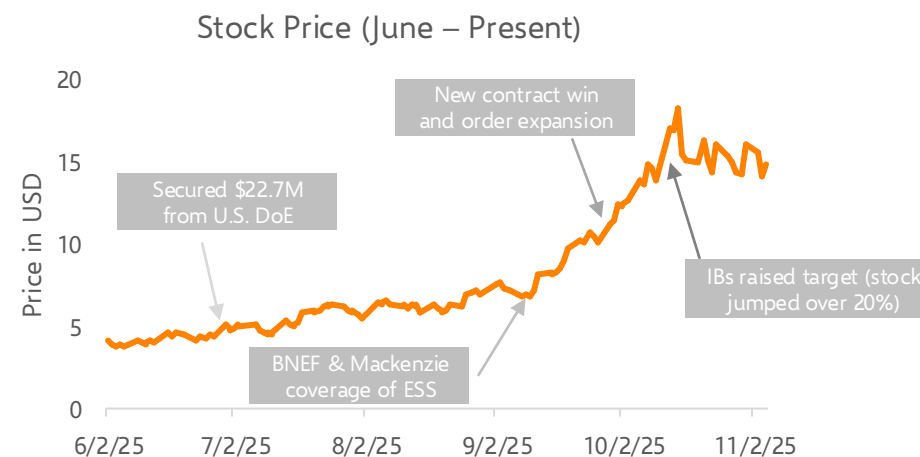
2025 order backlog ≈ \$147 million with a 18.8 billion commercial pipeline spanning North America and Europe.



Margins



Stock Price Movement (in USD)



Key Financials (Historical vs Forecasted)

	Historical					Forecasted				
	FY20A	FY21A	FY22A	FY23A	FY24A	FY25	FY26	FY27	FY28	FY29
Total Revenue	0.2	4.6	17.9	16.4	15.6	174.9	769.7	1,641.2	2,260.0	2,543.7
%YoY		1999.5%	289.8%	(8.6%)	(4.7%)	1021.0%	340.0%	113.2%	37.7%	12.6%
Gross Profit	(5.3)	(41.9)	(135.3)	(73.4)	(83.3)	70.0	327.1	738.5	1,073.5	1,271.9
%Revenue	(2415.5%)	(910.9%)	(755.1%)	(448.3%)	(533.5%)	40.0%	42.5%	45.0%	47.5%	50.0%
EBITDA	-	(101.7)	(207.6)	(136.1)	(158.2)	(0.4)	64.3	361.6	845.6	1,397.6
%Revenue	-	(2211.7%)	(1158.2%)	(830.8%)	(1013.8%)	(0.2%)	8.4%	22.0%	37.4%	54.9%
Operating Income (EBIT)	(37.4)	(104.3)	(214.4)	(145.8)	(166.1)	(17.5)	30.8	295.4	723.2	1,170.1
%Revenue	(17085.4%)	(2268.5%)	(1196.2%)	(890.1%)	(1064.1%)	(10.0%)	4.0%	18.0%	32.0%	46.0%
Net Income/(Loss)	(70.6)	(124.3)	(229.8)	(229.5)	(685.8)	(39.5)	9.2	290.1	712.2	1,153.6
%Revenue	(32257.1%)	(2702.6%)	(1281.9%)	(1401.6%)	(4394.7%)	(22.6%)	1.2%	17.7%	31.5%	45.4%

Long-Duration Energy Storage

Global LDES capacity projected to reach

1.5 TWh

>32% CAGR

driven by renewables intermittency and IRA incentives

U.S. Inflation Reduction Act allocates

\$368b

for energy transition

30-40%

storage tax credits

Forecast addressable market for EOS's chemistry segment, excluding Li-ion

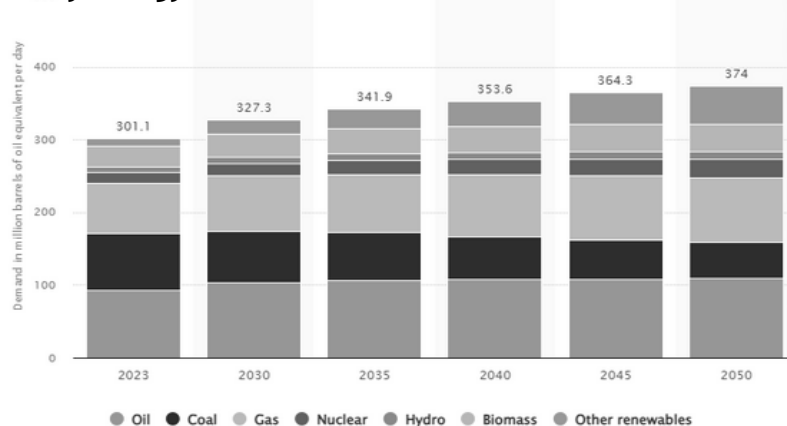
~\$100b by 2033

up from \$5b in 2023

Industry Narratives

Energy demand is surging—2024 growth nearly doubled the 10-year average, with electricity use set to rise 50%+ by 2040

Primary Energy Demand Worldwide in 2023 To 2050 (Forecast)



Industry Headwinds

✓ IRA Funding

\$369B; 30-40% ITC; +10% bonus for domestic content; IRR +400-600bps

✓ Federal Mandates

FERC Order 841: Market access | DOE Storage Shot: \$0.05/kWh target | \$505M funding

✓ Tariff Impact

While tariffs impose cost pressures, "Buy American" provisions funnel incentives to domestic manufacturing, driving supply chain resilience and national industry growth.

Drivers

Renewable Energy Integration

40%+ grid penetration requires 8-100 hrs duration storage

Fossil Phase-out

200+ GW coal/gas by 2035 needs firm capacity replacement

Grid Modernisation

\$2.5T investment + 70% of lines exceed 25 years design life

AI and Data Centres

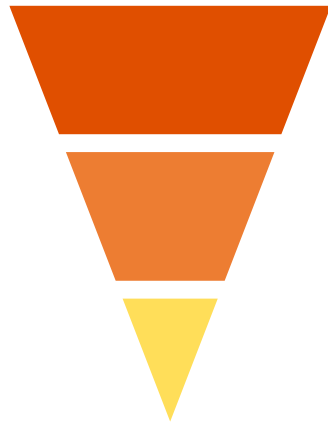
20+ GW clean firm capacity needed; 1000+ corps with CFE targets

Industry Overview

Long-Duration Energy Storage



TAM SAM SOM



TAM: Total Addressable Market
\$138.1B (in USD)

SAM: Serviceable Available Market
\$9.64B (in USD)

SOM: Serviceable Obtainable Market
\$1.05B (in USD)

Porter's Five Forces

Competitive Rivalry

High

Intense competition among flow, mechanical, and thermal batteries; no player exceeds 10%; key competitors include Tesla, Fluence, ESS, Form Energy.

Threat of New Entrants

Moderate

\$100M+ capital requirements offset by IRA incentives. Technology differentiation enables new entrants, but utilities favor proven track records..

Supply Power

Moderate

China controls 60% and Russia 20% of vanadium supply; chemical diversification and moderate power electronics consolidation reduce risk.

Buyer Power

Moderate - High

Large utilities hold purchasing power in a price-sensitive market with alternatives, but customization adds switching costs.

Threat of Substitutes

Moderate

Pumped hydro limits by location, gas peakers face carbon and retirement costs, Li-ion lasts 2-4 hours but degrades, hydrogen less efficient (30-45%).

Competitors Landscape

RAW MATERIAL SOURCING

Albemarle

Livent

BUSHVELD
MINERALS

RioTinto

TECHNOLOGY DEVELOPMENT AND MANUFACTURING

ESS INC
CATALYZING A CLEANER FUTURE

SIEMENS
energy

redflow

Highview
Power

SYSTEM INTEGRATION AND DEPLOYMENT

FLUENCE
A Siemens and AES Company

WÄRTSILÄ

GE

END USER

Dominion
Energy

Pacific Gas and
Electric Company

NEXTERA
ENERGY

SWOT

Strengths

Rapid 32%+ market growth driven by IRA incentives and diverse tech, with TAM near \$100B by 2033.

Weakness

High capex (\$300-600/kWh), limited track record (<5 GWh), tech fragmentation, long component lead (6-18 months) and project timelines (24-36 months)

Opportunities

Rising demand from renewables, fossil retirements, and decarbonization; LCOS dropping below \$100/MWh; policy-driven market growth.

Threats

Strong competition from Li-ion and hydrogen; tariff impacts; tech risks tied to shifting regulations.

Thesis 1: The Production Slingshot (Revenue Thesis)



Mispricing

Q3 Earnings Report Highlights:

- Q3 Earnings missed by 23% = result in **4.7% decline** of stock price (\$14.73 to \$14.07)

Street view: 'Q2 earnings was a fluke, reached a profitability inflection

Why?

- Temporary disruption caused by massive factory overhaul, causing production bottleneck
- Market has only priced in the cost of the upgrade (implementation of subassembly automation @ Turtle Creek facility + 88% bipolar line)

Guidance

Reaffirmation to meet 2 Gwh per year by end of 2025

Maintenance of \$150-160m revenue guideline.

- Expects "more than triple the output in the fourth quarter"

"Subassembly automation" will be used for expanding (2024 Jul plan of 1.25 Gwh to 2 Gwh)

- Designed to "more than double the battery module line throughput"

Source:

- EOS Energy
- Yahoo Finance

Quarterly Earnings

Units in USD mn	2025			
	Q1	Q2	Q3	Q4
Earnings	10.5	15.2	30.5	
YoY%	59.1%	1588.9%	3488.2%	

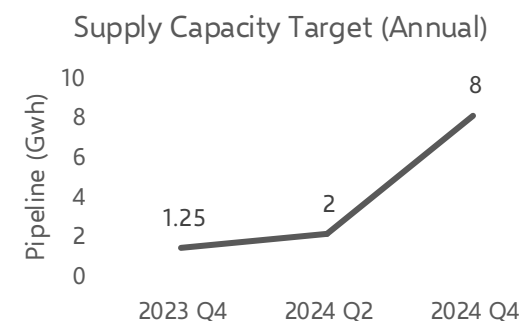
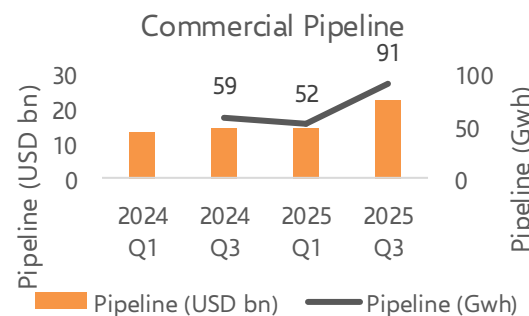
Q3 earnings came out, missed estimate (30.5m actual vs 39.6m estimate)

Q4 Forecasted earnings: \$95.3 mn

- 1180.8% YoY growth
- 212% sequential QoQ growth

Demand vs Supply

Comparison between total commercial pipeline & plan of annual manufacturing commercial pipeline target capacity



Justification for demand growth since it represents total volume of commercial projects in Gwh

- 2024 Q3: 59 Gwh
- 2025 Q1: 52 Gwh
- 2025 Q3: 91 Gwh

- 2023 Q4: 1.25 Gwh aimed by early 2024
- 2024 Q2: 2 Gwh aimed by end of 2024
- 2024 Q4: 8 Gwh aimed by 2027



Thesis 2: The Margin Inflection (Cost Thesis)

Mispricing

The market has mistakenly concluded that Eos is structurally unprofitable, fixating on the Q3 2025 gross loss of \$33.9M.

This is a **gross misinterpretation**.

The market is pricing in the *one-time cost* of the automation upgrade but is completely ignoring the *mechanical payoff*: a **93-point** sequential improvement in gross margin *percentage* and a clear path to positive margins in 2026.

This disconnect has left the massive **cash-flow-compounding effect** of the IRA & OBBBA tax credits entirely unpriced.

Effect of Automation



Slashing Inefficiency

- Q3 gross loss: driven by “production inefficiencies”

Proven Cost-cuts

- New Z3 Cube has shown “45% material cost reduction” and “20% energy performance increase” (EOSE 2024 10K)

Partnership with ACRO

- New line proven to be over 18x faster (3 minutes down to <10 seconds)

Source:

- EOS Energy
- Yahoo Finance

Market vs Analysis

Market view: Absolute loss of -\$33.9M

Our view: 93% improvement in Profit Margin

As volume scales, profitability per unit is drastically improving, not worsening.

Units in USD mn	2025			
	Q1	Q2	Q3	Q4
Revenue	10.5	15.2	30.5	93.5
COGS	35	31	33.9	
Profit	-24.5	-15.8	-3.4	
Profit Margin	-233%	-104%	-11%	

IRA & OBBBA

EOS is leveraging the IRA 45X tax credits and improved manufacturing efficiency to revolutionize its cost structure, paving a clear path to positive margins by FY26.

1. **IRA 45X "Policy Moat":** With over 90% U.S. content qualifies EOS for the IRA Section 45X Production Tax Credit (PTC) of ~\$45/kWh

- Contributes to a ~30% improvement in gross margins
- Creates a structural cost advantage as offshore competitors are disqualified

2. **Manufacturing & Scale-Up:** achieved over 90% first-pass manufacturing yield (up to 98% first-pass yield with ACRO), validating its automation and cost model

- Materially reduces cost per unit and de-risking the ramp-up to 2 GWh capacity

Investment Thesis

Thesis 3: The "Regulatory Arbitrage" play - Fire Safety Becomes EOS's hidden pricing power



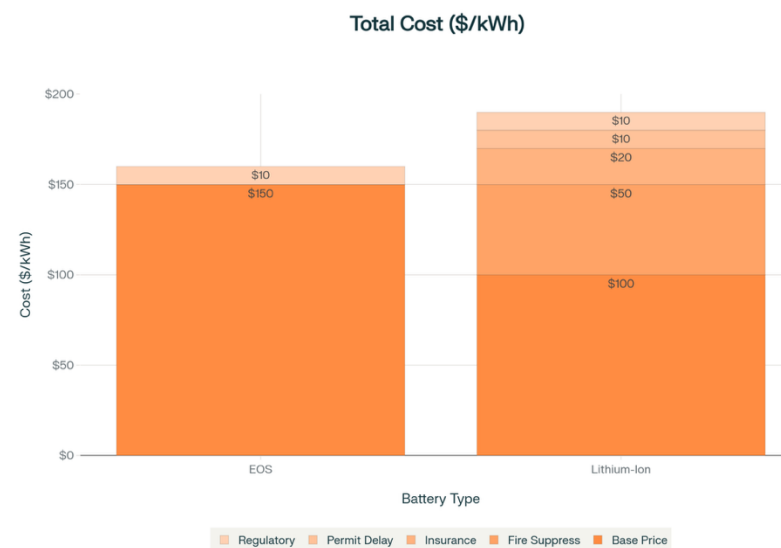
Mispricing

- The market focuses only on "sticker price" (\$/kWh) of batteries, ignoring hidden costs tied to safety, insurance, and permitting delays.
- Real-life lithium-ion projects experience 30-50% cost overruns from mandatory fire suppression, higher insurance premiums, and longer permitting times due to safety concerns.
- EOS's non-flammable, water-based chemistry avoids these added costs—making total cost of ownership much lower and allowing faster project approvals.

EOS's Pricing Power Drivers

- ✓ Non-flammable chemistry means no costly fire suppression or insurance premiums.
- ✓ EOS's inherent safety lowers insurance premiums and financing costs compared to lithium-ion systems, improving project economics and further strengthening margins.
- ✓ Lithium-ion faces tightening fire safety regulations and insurer concerns at critical sites like data centers and military bases, increasing EOS's market advantage as these rules evolve.

Total Cost of Ownership Comparison

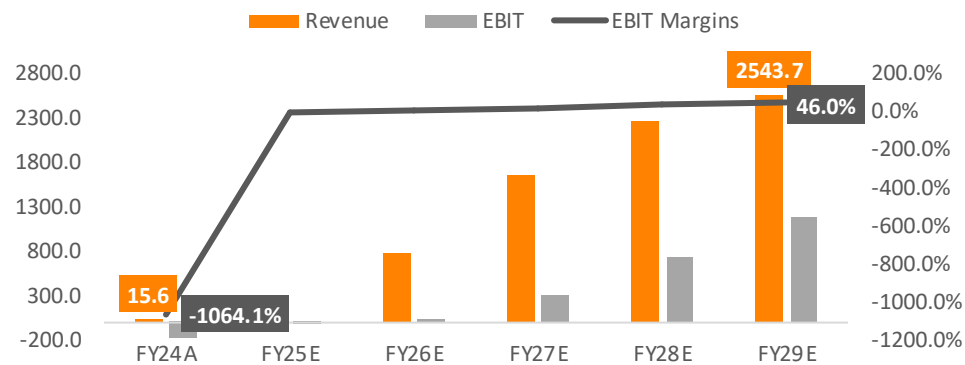


Path to Value Increase

- 1 Gross Margin Expansion:** Higher margins mean more profit per project, increasing cash flow and overall company value.
- 2 Faster Revenue Growth:** Accelerated permitting and project execution boost sales and market share expansion.
- 3 Lower Risk & Capital Costs:** Reduced execution and regulatory risks lower financing costs and make the company a safer investment.
- 4 Valuation Uplift:** Improved financial metrics and growth prospects justify higher valuation multiples, multiplying market capitalization.

Revenue Margins

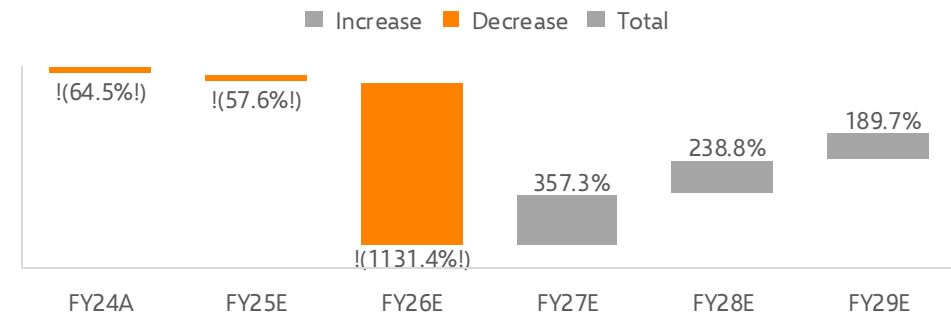
EOS transitions from heavy operating losses to positive margins by FY26, reflecting improving scale efficiency and cost absorption.



Liquidity Ratios

After deep negative equity and leverage in FY24–26, balance sheet recovery and capital inflows restore financial stability by FY27 onward.

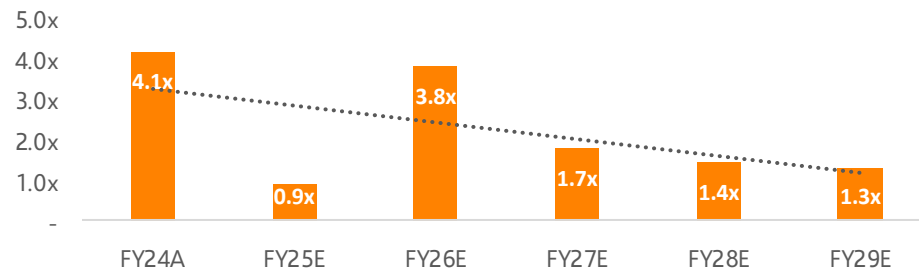
Financial Leverage



Solvency Ratios

Declining interest burden ratio indicates rising financing costs relative to earnings, though gradual profitability reduces leverage sensitivity over time.

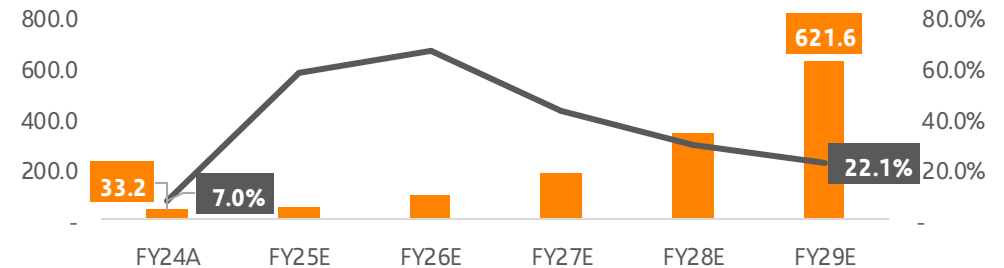
Interest Burden Ratio



Turnover

Asset turnover peaks in FY26 as capital efficiency improves before moderating due to large-scale capacity investments from FY27 onward.

Asset Turnover Ratio



Sources:

- Capital IQ
- Team Analysis
- EOS Energy

Valuation

Comps

- Traditional relative valuation were meaningless due to negative profits
- EV/Sales accounts for high-growth companies like EOS Energy



EV/Sales

Peer Companies	Ticker	Industry	Location	EV/Sales	Levered Beta	Debt	% Debt	Preferred Stock	% Preferred	Equity Value	% Equity	Tax Rate	Unlevered Beta
Fluence Energy, Inc.	FLNC	Utilities	USA	0.2	2.80	390.36	42.8%	0.00	0.0%	520.84	57.2%	21.0%	1.76
Solid Power	SLDP	Industrials	USA	16.1	1.85	8.80	2.3%	0.00	0.0%	370.77	97.7%	21.0%	1.82
Plug Power	PLUG	Industrials	USA	3.4	2.24	655.56	27.1%	0.00	0.0%	1760.00	72.9%	21.0%	1.73
Microvast	MVST	Industrials	USA	4.9	3.36	403.28	53.4%	0.00	0.0%	351.44	46.6%	21.0%	1.76
FuelCell Energy	FCEL	Industrials	USA	1.2	4.27	135.00	18.0%	59.86	8.0%	556.20	74.1%	21.0%	3.34

Comps Parameter

Input	Unlevered Beta	Relevered Beta	% Debt	% Equity	Tax Rate
Rate (%)	2.08	2.19	6.2%	93.8%	21%

Assumption: EV/Sales Multiple = 3.4x

Valuation

In USD	Base Case	Downside	Upside
Implied Share Price	\$18.08	\$9.59	\$29.39

Sources:

- Yahoo Finance
- Damodaran

EOSE Capital Structure

Total Cash	Total Debt	NOSH	Last Closed Share Price	Shareholder's Equity
74,292,000.0	809,187,000.0	279,200,000	15.29	4,268,968,000

- Total Debt includes the 488.7 Mn of preferred stocks issued in 2024
- Share price of \$15.29 as of 7th November, 2025

Target Share Price - Comparables

WACC	EV/Sales Multiple				
	2.4x	2.9x	3.4x	3.9x	4.4x
25.1%	13.55	15.03	16.52	18.01	19.50
24.1%	14.18	15.73	17.28	18.83	20.38
23.1%	14.85	16.46	18.08	19.69	21.30
22.1%	15.55	17.23	18.91	20.59	22.27
21.1%	16.28	18.03	19.78	21.53	23.28

Valuation

DCF



WACC Parameter

Input	Risk-Free Rate	Beta (Relevered)	Equity Risk Premium	Cost of Equity	Pre-Tax Cost of Debt	Tax Rate	WACC
Rate (%)	4.10%	2.19	8.00%	23.83%	19.11%	21%	23.08%

US 10 Year Treasury Yield as Risk-Free
ERP = 5% US MRP + 4% Small Cap Premium
Cost of Debt taken from D2 Rating
US Corporate Tax Rate of 21%

DCF

DCF	FY25	FY26	FY27	FY28	FY29
NOPAT	(13.8)	24.3	233.4	571.3	924.4
(+) D&A	17.1	33.5	66.1	122.4	227.5
(-) CapEx	(46.6)	(91.6)	(180.7)	(334.6)	(621.6)
(-) Net Change in Working Capital	(703.3)	434.3	1,279.0	2,131.2	2,936.1
Unlevered Free Cash Flow (FCFF)	(746.7)	400.5	1,397.8	2,490.4	3,466.4
Discount Factor	1.2308	1.5148	1.8644	2.2946	2.8241
Present Value of FCFE	(606.7)	264.4	749.8	1,085.3	1,227.4

Assumption: Baseline (Terminal) Growth Rate = 2.5%

Valuation

In USD	Base Case	Downside	Upside
Implied Share Price	\$14.87	\$5.64	\$28.03

Sources:

- Yahoo Finance
- Damodaran

Sensitivity Analysis

Target Share Price - Discounted Cash Flow

WACC	Terminal Growth Rate				
	1.5%	2.0%	2.5%	3.0%	3.5%
25.1%	12.11	12.26	12.42	12.58	12.76
24.1%	13.20	13.38	13.57	13.76	13.97
23.1%	14.43	14.64	14.86	15.09	15.34
22.1%	15.81	16.06	16.33	16.60	16.89
21.1%	17.38	17.68	17.99	18.32	18.67

Average of the DCF and Comparables Methods

Blended Value	Total Blended Value
	-
	Base Case
	\$16.47
	Bear Case
	\$7.62
	Bull Case
	\$28.71

Risks & Catalysts



Risks	
Going-Concern Risk [R1]	Eos continues to operate at a loss and relies on external funding. If additional capital is delayed or unavailable, there is risk the company may not sustain operations in the next 12 months.
Execution & Scale-up [R2]	Eos is still ramping up manufacturing from pilot scale to its 2 GWh target capacity. Any delay in production scale-up, supply chain issues, or quality control failures could materially affect delivery timelines and customer confidence.
Technology & Cost Effectiveness [R3]	Eos’s zinc-hybrid technology offers safety, sustainability, and long-duration benefits, but lithium-ion remains cheaper and more established. If zinc cost reductions or efficiency gains are slower than expected, Eos may struggle to compete commercially.

Catalysts	
Cerberus Milestone Completion + Capital Unlock [C1]	Eos Energy achieved a 90% first-pass yield, proving scalable automation and cost-effective production. Meeting DOE and Cerberus milestones unlocked \$186M+ funding. Improved efficiencies and yield gains lower unit costs, setting Eos on a path to better gross margins and profitability.
Talen Energy + MN8 AI/Data Center Partnerships [C2]	Eos secured a multi-GWh supply framework with Talen Energy and a \$180-\$200M agreement with MN8, together worth \$500M–\$1B in potential revenue over two years. Initial MN8 and Talen deliveries begin in 2026, with larger-scale conversions expected through 2027.

Sources:

- Investing.com
- Global News Wire
- EOS Energy

Mitigation
Eos is securing additional capital through partnerships like those with Talen Energy and MN8 and long-term contracts to stabilize cash flow.
Eos is optimizing production with automation at the Turtle Creek facility to improve scalability.
Eos is driving cost reductions through innovation and leveraging IRA 45X tax credits to strengthen its competitiveness.

